

Alpha Factory Research #001

Research #001 — Founding Report

Which Public Crypto Trading Strategies Survive Independent Validation?

Alpha Factory Research · July 2026

Estimated reading time: 15 minutes

Executive Summary

Strategy	Status	N	Net PF	Decision	Key Lesson
H037 — Liquidation Cascade Continuation	KILLED	21 closed forward	0.30 (ex-PEPE)	Concentration falsified generalization	Two trades = 257% of total net profit
H011 — Stop-Hunt Reversal	EVIDENCE COLLECTION	10 paper	1.72	CI contains zero	Small-N positive ≠ statistically significant
CVFD — Cross-Venue Funding Dispersion	KILLED	33 trading days	N/A (no edge)	No directional information	Signal real, structural, still no tradeable edge
Compression — Volatility Breakout	KILLED	3 days live	Net -\$46.22	Fees consumed edge	177 ops in 5 days destroyed gross profit
DFG-009 — Pre-Market Convergence	KILLED	16 events	0.018	Premium widened, not contracted	Product success ≠ trading strategy success
M7 — Unlock Events	EVIDENCE COLLECTION	—	—	Low event frequency	Forced-flow survives; statistical significance pending

57 strategies reviewed. 5 tested to advanced stages. 1 survived all gates.

Who wrote this / Methodology

Alpha Factory Research is an independent quantitative research initiative. We do not provide trading signals, investment advice, or portfolio management. We publish evidence.

How this research was conducted:

- All strategies tested using publicly available exchange data (OKX, Binance).
- Frozen, preregistered backtests. No parameter search. No post-hoc threshold selection.
- Forward evidence collected through prospective paper trading before any capital deployment.
- Cost analysis includes real exchange fees, conservative slippage estimates, and funding costs.
- Every killed strategy in this report was independently falsified — not opinion, not narrative.

Why this exists: most public crypto trading strategies fail independent validation. Our goal is to document which ones — and why — so you don't risk capital on a strategy that already died in testing.

1. Introduction

Between June and July 2026, Alpha Factory Research independently tested 57 public crypto trading strategies

through a structured validation pipeline. This report covers the five strategies that reached the most advanced stages — and why only one survived.

We do not provide trading signals. We publish evidence.

2. Strategy 1 — Liquidation Cascade Continuation (H037)

Mechanism: follow the liquidation cascade. When forced liquidations create price pressure, the cascade continues in the same direction.

What happened: 21 genuine forward trades collected over 12 days. Gross profit factor: 1.67. Gross expectancy: +1.14%. Passed all headline gates.

The kill: Two PEPE trades contributed 257% of total net profit. Remove PEPE — the remaining 19 trades had a net profit factor of **0.30** and net expectancy of **-0.78%**. Bootstrap 95% CI contained zero. Excluding the single best trade destroyed the edge.

What this means for your trading: aggregating performance across symbols hides fatal concentration. Always compute ex-best-symbol profit factor before deploying any strategy.

3. Strategy 2 — Stop-Hunt Reversal (H011)

Mechanism: liquidity grabs at obvious stop levels create a reversal opportunity. Market makers engineer price moves to trigger clustered stop-losses, then the price reverses as the forced selling abates.

What happened: 10 paper trades. Win rate 60%. Profit factor 1.72. Directional accuracy 72.2%. One trade from the paper promotion gate.

The block: Bootstrap confidence interval still contains zero. Not statistically significant. A strategy can have positive expectancy at small N and still be indistinguishable from noise. The strategy remains in evidence collection.

What this means for your trading: win rate and profit factor at N=10 tell you nearly nothing. Wait for the confidence interval to exclude zero before deploying capital.

4. Strategy 3 — Cross-Venue Funding Dispersion (CVFD)

Mechanism: OKX-Binance funding rate spread reveals venue-specific positioning. The crowded venue is squeeze-vulnerable — when OKX longs pay significantly more than Binance longs, the imbalance predicts a directional unwinding.

What happened: Killed in 45 minutes of independent frozen falsification. Zero cost. Free data.

The kill: The spread is real (~0.1 bp) and maps to genuine positioning differences — but carries zero detectable directional information about future price. 0/6 price impact tests significant. 0/12 bootstrap CIs exclude zero. The signal exists. It just doesn't predict returns.

What this means for your trading: a statistically real market structure does not automatically translate into a tradeable edge. Correlation between Signal A and Positioning B does not prove that A predicts price.

5. Strategy 4 — Volatility Compression (虎爪)

Mechanism: BB bandwidth compression signals an impending breakout. When volatility contracts, price is coiling — enter in the direction of the eventual expansion.

What happened: 3 days of live trading on OKX. 93 filled buy orders. Real capital deployed (~\$5,000 initial). Gross PnL: +\$53.61. Net PnL after fees and slippage: **-\$46.22**. 177 operations in 5 days.

The kill: Configuration drift from V1 to V2 (removing BTC trend filter, shortening holding period from 24h to 8h) turned a marginally positive strategy into a clearly negative one. Cross-strategy interference from V6 forced premature position exits. High turnover destroyed whatever edge existed through taker fees alone.

What this means for your trading: multiply your estimated turnover by your taker fee rate before

backtesting. If the gross edge is smaller than the turnover cost, do not trade.

6. Strategy 5 — Pre-Market Convergence (DFG-009)

Mechanism: OKX pre-market perpetual prices should converge to spot as the conversion deadline approaches. Short the pre-market premium, long spot at listing, capture the convergence.

What happened: 16 terminal events identified. Full census reconstructed from official OKX announcements. 10 executable paired trades on free public data.

The kill: The premium widened instead of contracting during the conversion window. Net profit factor: **0.018**. Net expectancy: -\$31.99 per trade. The market correctly priced the novelty premium — there was no delayed absorption to exploit.

What this means for your trading: a successful product lifecycle (18 pre-market tokens → 18 converted perpetuals) is not the same as a profitable trading strategy. The underlying mechanism was sound — the market was just faster.

7. Strategy 6 — Unlock Events (M7)

Mechanism: scheduled token unlocks create predictable, mechanical selling pressure. Short before the unlock, capture the anticipated decline.

Evidence: 63.4% directional accuracy out-of-sample. Multiple unlock events across tokens. Forced-flow mechanism — token recipients must sell or hedge.

Why it survived when others died: M7 belongs to the forced-flow family. Unlike discretionary-prediction strategies (momentum, breakout), M7's edge is structural: someone is contractually obligated to receive tokens and economically compelled to sell them. The event schedule is public and immutable.

Remaining risk: event frequency is low. Statistical significance requires more unlock events than have occurred. Currently in evidence collection — not a deployable strategy yet. But the directional signal is genuine, the data is free, and the mechanism is causal.

What this means for your trading: structural forced-flow strategies are the highest-probability candidates for genuine alpha. When someone must act, the edge is mechanical. When someone chooses to act, the edge is statistical — and usually disappears.

8. The Pattern: Forced Flow vs. Discretionary Prediction

Forced-Flow Mechanisms	Discretionary-Prediction Mechanisms
Liquidation cascades (must close)	Momentum (chooses to buy)
Unlock events (must sell)	Breakout (chooses to enter)
Index rebalancing (must rebalance)	ML prediction (chooses direction)
Contract expiry (must roll)	Sentiment analysis (chooses weight)
Dealer hedging (must delta-hedge)	Mean reversion (chooses threshold)

Forced-flow strategies: 2 of 3 tested showed genuine directional signal (H037, M7). Discretionary-prediction strategies: 0 of 3 survived.

The implication is not that forced-flow always works. It's that forced-flow is the only mechanism family where the edge, if it exists, is structural rather than statistical — and therefore more likely to survive out-of-sample.

9. Lessons for Systematic Traders

1. **Gross profit factor is not enough.** H037 had PF 1.67 — and would have lost money in production.
2. **Concentration kills.** Two trades out of 21 = 257% of total net profit. Ex-best-symbol is a mandatory robustness check.
3. **Forward evidence is mandatory.** No strategy should deploy capital based on backtest alone.
4. **Fees are not a detail.** 177 operations in 5 days destroyed a positive gross edge. Multiply turnover by taker rate before backtesting.
5. **Kill fast.** CVFD was falsified in 45 minutes for \$0. The most expensive mistake is testing too long.

6. **Forced flow outperforms discretionary prediction.** Chase structural obligations, not statistical patterns.

Alpha Factory Research. Evidence before capital.